Chapter Forty-One

Assessing ‘Policy’ in India’s Expenditures

The purpose of government expenditures and economic policymaking is almost always three-fold: deliver public goods and services; stimulate growth and even out economic cycles; and redistribute wealth and incomes. These expenditures reveal the economic policy of the government. The government also incurs considerable expenditure that serves none of these policy purposes, e.g., payment of interest and pensions. For assessing policy expenditures, it is necessary to identify the total policy expenditure in the Budget, classify the total policy expenditure into these three broad categories and then assess whether the expenditures in any particular year are in line with the policy imperatives of that year.

Government accounts and budgets are presented in a highly straitjacketed manner in myriad heads and subheads. Expenditures are also not classified and presented in policy expenditure and non-policy or maintenance expenditures. The Central government presents its expenditures in four broad categories: central-sector schemes, Centrally Sponsored Schemes or CSSs, other central expenditures and transfers. All the four broad categories may have any of all the three types of policy expenditures and also purely maintenance expenditures. The government secures the approval of the Parliament for incurring expenditures under roughly 100 grants. Making sense of government expenditures from the policy perspective requires looking at each and every line item presented in these four broad categories and under 100-odd grants.